

must tend to diminish the possession of this part of society. The only way that a poor man has of supporting himself in independence is by the exertion of his bodily strength. This is the only commodity he has to give in exchange for the necessaries of life. It would hardly appear then that you benefit him by narrowing the market for this commodity, by decreasing the demand for labour, and lessening the value of the only property that he possesses.

Mr. Godwin would perhaps say that the whole system of barter and exchange is a vile and iniquitous traffic. If you would essentially relieve the

could with advantage to society actively interfere to repress inequality of fortunes may be a matter of doubt. Perhaps the generous system of perfect liberty adopted by Dr Adam Smith and the French economists would be ill exchanged for any system of restraint.

poor man, you should take a part of his labour upon yourself, or give him your money, without exacting so severe a return for it. In answer to the first method proposed, it may be observed, that even if the rich could be persuaded to assist the poor in this way, the value of the assistance would be comparatively trifling. The rich, though they think themselves of great importance, bear but a small proportion in point of numbers to the poor, and would, therefore, relieve them but of a small part of their burdens by taking a share. Were all those that are employed in the labours of luxuries added to the number of those employed in producing necessaries, and could these necessary labours be amicably divided among all, each man's share might indeed be comparatively light ; but desirable as such an amicable division would undoubtedly be, I cannot con-

ceive any practical principle* according to which it could take place. It has been shewn, that the spirit of benevolence, guided by the strict impartial justice that Mr. Godwin describes, would, if vigorously acted upon, depress in want and misery the whole human race. Let us examine what would be the consequence, if the proprietor were to retain a decent share for himself, but to give the rest away to the poor, without exacting a task from them in return. Not to mention the idleness and the vice that such a proceeding, if general, would probably create in the present state of soci-

* Mr. Godwin seems to have but little respect for practical principles ; but I own it appears to me, that he is a much greater benefactor to mankind, who points out how an inferior good may be attained, than he who merely expatiates on the deformity of the present state of society, and the beauty of a different state, without pointing out a practical method, that

ety, and the great risk there would be, of diminishing the produce of land, as well as the labours of luxury, another objection yet remains.

It has appeared that from the principle of population more will always be in want than can be adequately supplied. The surplus of the rich man might be sufficient for three, but four will be desirous to obtain it. He cannot make this selection of three out of the four without conferring a great favour on those that are the objects of his choice. These persons must consider themselves as under a great obligation to him and as dependent upon him for their support. The rich man would feel his power and the poor man his dependence, and the evil effects of these two impressions on the human

might be immediately applied, of accelerating our advances from the one, to the other.

heart are well known. Though I perfectly agree with Mr. Godwin therefore in the evil of hard labour, yet I still think it a less evil, and less calculated to debase the human mind, than dependence, and every history of man that we have ever read places in a strong point of view the danger to which that mind is exposed which is entrusted with constant power.

In the present state of things, and particularly when labour is in request, the man who does a day's work for me confers full as great an obligation upon me as I do upon him. I possess what he wants, he possesses what I want. We make an amicable exchange. The poor man walks erect in conscious independence ; and the mind of his employer is not vitiated by a sense of power.

Three or four hundred years ago there was undoubtedly much less labour in England, in proportion to the population, than at present, but there was much more dependence, and we probably should not now enjoy our present degree of civil liberty if the poor, by the introduction of manufactures, had not been enabled to give something in exchange for the provisions of the great Lords, instead of being dependent upon their bounty. Even the greatest enemies of trade and manufactures, and I do not reckon myself a very determined friend to them, must allow that when they were introduced into England, liberty came in their train.

Nothing that has been said tends in the most remote degree to undervalue the principle of benevolence. It is one of the noblest and most godlike

qualities of the human heart, generated, perhaps, flowly and gradually from self-love, and afterwards intended to act as a general law, whose kind office it should be, to soften the partial deformities, to correct the asperities, and to smooth the wrinkles of its parent ? and this seems to be the analog of all nature. Perhaps there is no one general law of nature that will not appear, to us at least, to produce partial evil ; and we frequently observe at the same time, some bountiful provision which, acting as another general law, corrects the inequalities of the first.

The proper office of benevolence is to soften the partial evils arising from self-love, but it can never be substituted in its place. If no man were to allow himself to act till he had completely determined that the action he was about to perform was more con-

ducive than any other to the general good, the most enlightened minds would hesitate in perplexity and amazement ; and the unenlightened would be continually committing the grossest mistakes.

As Mr. Godwin, therefore, has not laid down any practical principle according to which the necessary labours of agriculture might be amicably shared among the whole class of labourers, by general invectives against employing the poor he appears to pursue an unattainable good through much present evil. For if every man who employs the poor ought to be considered as their enemy, and as adding to the weight of their oppressions, and if the miser is for this reason to be preferred to the man who spends his income, it follows that any number of men who now spend their

incomes might, to the advantage of society, be converted into misers. Suppose then that a hundred thousand persons who now employ ten men each were to lock up their wealth from general use, it is evident, that a million of working men of different kinds would be completely thrown out of all employment. The extensive misery that such an event would produce in the present state of society Mr. Godwin himself could hardly refuse to acknowledge, and I question whether he might not find some difficulty in proving that a conduct of this kind tended more than the conduct of those who spend their incomes to "place human beings in the condition in which they ought to be placed." But Mr. Godwin says that the miser really locks up nothing, that the point has not been rightly understood, and that the true development and definition of the na-

ture of wealth have not been applied to illustrate it. Having defined therefore wealth, very justly, to be the commodities raised and fostered by human labour, he observes that the miser locks up neither corn, nor oxen, nor clothes, nor houses. Undoubtedly he does not really lock up these articles, but he locks up the power of producing them, which is virtually the same. These things are certainly used and consumed by his contemporaries, as truly, and to as great an extent, as if he were a beggar ; but not to as great an extent as if he had employed his wealth in turning up more land, in breeding more oxen, in employing more tailors, and in building more houses. But supposing, for a moment, that the conduct of the miser did not tend to check any really useful produce, how are all those who are thrown out of employment to obtain

patents which they may shew in order to be awarded a proper share of the food and raiment produced by the society? This is the unconquerable difficulty.

I am perfectly willing to concede to Mr. Godwin that there is much more labour in the world than is really necessary, and that, if the lower classes of society could agree among themselves never to work more than six or seven hours in the day, the commodities essential to human happiness might still be produced in as great abundance as at present. But it is almost impossible to conceive that such an agreement could be adhered to. From the principle of population, some would necessarily be more in want than others. Those that had large families would naturally be desirous of exchanging two hours more of their

labour for an ampler quantity of subsistence. How are they to be prevented from making this exchange? it would be a violation of the first and most sacred property that a man possesses to attempt, by positive institutions, to interfere with his command over his own labour.

Till Mr. Godwin, therefore, can point out some practical plan according to which the necessary labour in a society might be equitably divided, his invectives against labour, if they were attended to, would certainly produce much present evil without approximating us to that state of cultivated equality to which he looks forward as his polar star, and which, he seems to think, should at present be our guide in determining the nature and tendency of human actions. A

mariner guided by such a polar star is in danger of shipwreck.

Perhaps there is no possible way in which wealth could in general be employed so beneficially to a state, and particularly to the lower orders of it, as by improving and rendering productive that land which to a farmer would not answer the expense of cultivation. Had Mr. Godwin exerted his energetic eloquence in painting the superior worth and usefulness of the character who employed the poor in this way, to him who employed them in narrow luxuries, every enlightened man must have applauded his efforts. The increasing demand for agricultural labour must always tend to better the condition of the poor ; and if the accession of work be of this kind, so far is it from being true that the poor would be obliged to work ten hours for

the same price that they before worked eight, that the very reverse would be the fact ; and a labourer might then support his wife and family as well by the labour of six hours as he could before by the labour of eight.

The labour created by luxuries, though useful in distributing the produce of the country, without vitiating the proprietor by power, or debasing the labourer by dependence, has not, indeed, the same beneficial effects on the state of the poor. A great accession of work from manufacturers, though it may raise the price of labour even more than an increasing demand for agricultural labour, yet, as in this case the quantity of food in the country may not be proportionably increasing, the advantage to the poor will be but temporary, as the price of provisions must necessarily rise in proportion to

the price of labour. Relative to this subject, I cannot avoid venturing a few remarks on a part of Dr Adam Smith's *Wealth of Nations*, speaking at the same time with that diffidence which I ought certainly to feel in differing from a person so justly celebrated in the political world.

CHAPTER XVI.

Probable error of Dr Adam Smith in representing every increase of the revenue or stock of a society as an increase in the funds for the maintenance of labour.—Instances where an increase of wealth can have no tendency to better the condition of the labouring poor.—England has increased in riches without a proportional increase in the funds for the maintenance of labour.—The state of the poor in China would not be improved by an increase of wealth from manufactures.

THE professed object of Dr Adam Smith's inquiry is the nature and causes of the wealth of nations. There is another inquiry, however, perhaps still more interesting, which he occasionally mixes with it ; I mean an inquiry into the causes which affect the happiness of nations or the happiness and comfort of the lower orders of society, which is the most numerous class in every nation. I am sufficiently aware of the near connection of these

two subjects, and that the causes which tend to increase the wealth of a state tend also, generally speaking, to increase the happiness of the lower classes of the people. But perhaps Dr Adam Smith has considered these two inquiries as still more nearly connected than they really are ; at least, he has not stopped to take notice of those instances where the wealth of a society may increase (according to his definition of “ wealth ”) without having any tendency to increase the comforts of the labouring part of it. I do not mean to enter into a philosophical discussion of what constitutes the proper happiness of man, but shall merely consider two universally acknowledged ingredients, health, and the command of the necessaries and conveniences of life.

Little or no doubt can exist that the comforts of the labouring poor depend upon the increase of the funds destined for the maintenance of labour, and will be very exactly in proportion to the rapidity of this increase. The demand for labour which such increase would occasion, by creating a competition in the market, must necessarily raise the value of labour, and, till the additional number of hands required were reared, the increased funds would be distributed to the same number of persons as before the increase, and therefore every labourer would live comparatively at his ease. But perhaps Dr Adam Smith errs in representing every increase of the revenue or stock of a society as an increase of these funds. Such surplus stock or revenue will, indeed, always be considered by the individual possessing it as an additional fund from which he may main-

tain more labour ? but it will not be a real and effectual fund for the maintenance of an additional number of labourers, unless the whole, or at least a great part of this increase of the stock or revenue of the society, be convertible into a proportional quantity of provisions ; and it will not be so convertible where the increase has arisen merely from the produce of labour, and not from the produce of land. A distinction will in this case occur, between the number of hands which the stock of the society could employ, and the number which its territory can maintain.

To explain myself by an instance. Dr Adam Smith defines the wealth of a nation to consist. In the annual produce of its land and labour. This definition evidently includes manufactured produce, as well as the produce

of the land. Now supposing a nation for a course of years was to add what it saved from its yearly revenue to its manufacturing capital solely, and not to its capital employed upon land, it is evident that it might grow richer according to the above definition, without a power of supporting a greater number of labourers, and, therefore, without an increase in the real funds for the maintenance of labour. There would, notwithstanding, be a demand for labour from the power which each manufacturer would possess, or at least think he possessed, of extending his old stock in trade or of setting up fresh works. This demand would of course raise the price of labour, but if the yearly stock of provisions in the country was not increasing, this rise would soon turn out to be merely nominal, as the price of provisions must necessarily rise with it. The demand for manu-

facturing labourers might, indeed, entice many from agriculture and thus tend to diminish the annual produce of the land, but we will suppose any effect of this kind to be compensated by improvements in the instruments of agriculture, and the quantity of provisions therefore to remain the same. Improvements in manufacturing machinery would of course take place, and this circumstance, added to the greater number of hands employed in manufactures, would cause the annual produce of the labour of the country to be upon the whole greatly increased. The wealth therefore of the country would be increasing annually, according to the definition, and might not, perhaps, be increasing very slowly.

The question is whether wealth, increasing in this way, has any tendency to better the condition of the labour-

ing poor. It is a self-evident proposition that any general rise in the price of labour, the stock of provisions remaining the same, can only be a nominal rise, as it must very shortly be followed by a proportional rise in the price of provisions. The increase in the price of labour, therefore, which we have supposed, would have little or no effect in giving the labouring poor a greater command over the necessaries and conveniences of life. In this respect they would be nearly in the same state as before. In one other respect they would be in a worse state. A greater proportion of them would be employed in manufactures, and fewer, consequently, in agriculture. And this exchange of professions will be allowed, I think, by all, to be very unfavourable in respect of health, one essential ingredient of happiness, besides the greater uncertainty of man-

ufacturing labour, arising from the capricious taste of man, the accidents of war, and other causes.

It may be said, perhaps, that such an instance as I have supposed could not occur, because the rise in the price of provisions would immediately turn some additional capital into the channel of agriculture. But this is an event which may take place very slowly, as it should be remarked that a rise in the price of labour had preceded the rise of provisions, and would, therefore, impede the good effects upon agriculture, which the increased value of the produce of the land might otherwise have occasioned.

It might also be said, that the additional capital of the nation would enable it to import provisions sufficient for the maintenance of those whom

its flock could employ. A small country with a large navy, and great inland accommodations for carriage, such as Holland, may, indeed, import and distribute an effectual quantity of provisions ; but the price of provisions must be very high to make such an importation and distribution answer in large countries less advantageously circumstanced in this respect.

An instance, accurately such as I have supposed, may not, perhaps, ever have occurred, but I have little doubt that instances nearly approximating to it may be found without any very laborious search. Indeed I am strongly inclined to think that England herself, since the Revolution, affords a very striking elucidation of the argument in question.

The commerce of this country, internal as well as external, has certainly been rapidly advancing during the last century. The exchangeable value in the market of Europe of the annual produce of its land and labour has, without doubt, increased very considerably. But, upon examination, it will be found that the increase has been chiefly in the produce of labour and not in the produce of land, and therefore, though the wealth of the nation has been advancing with a quick pace, the effectual funds for the maintenance of labour have been increasing very slowly, and the result is such as might be expected. The increasing wealth of the nation has had little or no tendency to better the condition of the labouring poor. They have not, I believe, a greater command of the necessaries and conveniences of life, and a much greater proportion of

them than at the period of the Revolution is employed in manufactures and crowded together in close and unwholesome rooms.

Could we believe the statement of Dr. Price that the population of England has decreased since the Revolution, it would even appear that the effectual funds for the maintenance of labour had been declining during the progress of wealth in other respects. For I conceive that it may be laid down as a general rule that if the effectual funds for the maintenance of labour are increasing, that is, if the territory can maintain as well as the stock employ a greater number of labourers, this additional number will quickly spring up, even in spite of such wars as Dr. Price enumerates. And, consequently, if the population of any country has been stationary, or declin-

ing, we may safely infer, that, however it may have advanced in manufacturing wealth, its effectual funds for the maintenance of labour cannot have increased.

It is difficult, however, to conceive that the population of England has been declining since the Revolution, though every testimony concurs to prove that its increase, if it has increased, has been very slow. In the controversy which the question has occasioned, Dr. Price undoubtedly appears to be much more completely master of his subject, and to possess more accurate information, than his opponents. Judging simply from this controversy, I think one should say that Dr. Price's point is nearer being proved than Mr. Howlett's. Truth, probably, lies between the two statements, but this supposition makes the

increase of population since the Revolution to have been very flow in comparison with the increase of wealth.

That the produce of the land has been decreasing, or even that it has been absolutely stationary during the last century, few will be disposed to believe. The enclosure of commons and waste lands certainly tends to increase the food of the country, but it has been asserted with confidence that the enclosure of common fields has frequently had a contrary effect, and that large tracts of land which formerly produced great quantities of corn, by being converted into pasture both employ fewer hands and feed fewer mouths than before their enclosure. It is, indeed, an acknowledged truth, that pasture land produces a smaller quantity of human subsistence than corn land of the same natural fertility,

and could it be clearly ascertained that from the increased demand for butcherf' meat of the best quality, and its increased price in consequence, a greater quantity of good land has annually been employed in grazing, the diminution of human subsistence, which this circumstance would occasion, might have counterbalanced the advantages derived from the enclofure of waste lands, and the general improvements in husbandry.

It scarcely need be remarked that the high price of butcherf' meat at present, and its low price formerly, were not caused by the scarcity in the one case or the plenty in the other, but by the different expenfe sustained at the different periods, in preparing cattle for the market. It is, however, possible, that there might have been more cattle a hundred years ago in

the country than at present ; but no doubt can be entertained, that there is much more meat of a superior quality brought to market at present than ever there was. When the price of butcherf' meat was very low, cattle were reared chiefly upon waste lands ; and except for some of the principal markets, were probably killed with but little other fattening. The veal that is sold so cheap in some distant counties at present bears little other resemblance than the name, to that which is bought in London. Formerly, the price of butchers, meat would not pay for rearing, and scarcely for feeding, cattle on land that would answer in tillage ; but the present price will not only pay for fattening cattle on the very best land, but will even allow of the rearing many, on land that would bear good crops of corn. The same number of cattle, or even the same weight of

cattle at the different periods when killed, will have consumed (if I may be allowed the expression) very different quantities of human substance. A fatted beast may in some respects be considered, in the language of the French economists, as an unproductive labourer ? he has added nothing to the value of the raw produce that he has consumed. The present system of grazing, undoubtedly tends more than the former system to diminish the quantity of human subsistence in the country, in proportion to the general fertility of the land.

I would not by any means be understood to say that the former system either could or ought to have continued. The increasing price of butcher's meat is a natural and inevitable consequence of the general progress of cultivation ; but I cannot help thinking, that the

present great demand for butcherf' meat of the best quality, and the quantity of good land that is in consequence annually employed to produce it, together with the great number of horses at present kept for pleasure, are the chief causes that have prevented the quantity of human food in the country from keeping pace with the generally increased fertility of the soil ; and a change of custom in these respects would, I have little doubt, have a very sensible effect on the quantity of subsistence in the country, and consequently on its population.

The employment of much of the most fertile land in grating, the improvements in agricultural instruments, the increase of large farms, and particularly the diminution of the number of cottages throughout the kingdom, all concur to prove, that

there are not probably so many persons employed in agricultural labour now as at the period of the Revolution. Whatever increase of population, therefore, has taken place, must be employed almost wholly in manufactures, and it is well known that the failure of some of these manufactures, merely from the caprice of fashion, such as the adoption of muslins instead of silks, or of shoe-strings and covered buttons, instead of buckles and metal buttons, combined with the restraints in the market of labour arising from corporation and parish laws, have frequently driven thousands on charity for support. The great increase of the poor rates is, indeed, of itself a strong evidence that the poor have not a greater command of the necessaries and conveniences of life, and if to the consideration, that their condition in this respect is rather worse than bet-

ter, be added the circumstance, that a much greater proportion of them is employed in large manufactories, unfavourable both to health and virtue, it must be acknowledged, that the increase of wealth of late years has had no tendency to increase the happiness of the labouring poor.

That every increase of the stock or revenue of a nation cannot be considered as an increase of the real funds for the maintenance of labour and, therefore, cannot have the same good effect upon the condition of the poor, will appear in a strong light if the argument be applied to China.

Dr Adam Smith observes that China has probably long been as rich as the nature of her laws and institutions will admit, but that with other laws and institutions, and if foreign com-

merce were had in honour, she might still be much richer. The question is, would such an increase of wealth be an increase of the real funds for the maintenance of labour, and consequently tend to place the lower classes of people in China in a state of greater plenty?

It is evident, that if trade and foreign commerce were held in great honour in China, from the plenty of labourers, and the cheapness of labour, she might work up manufactures for foreign sale to an immense amount. It is equally evident that from the great bulk of provisions and the amazing extent of her inland territory she could not in return import such a quantity as would be any sensible addition to the annual stock of subsistence in the country. Her immense amount of manufactures, therefore, she would ex-

change, chiefly, for luxuries collected from all parts of the world. At present, it appears, that no labour whatever is spared in the production of food. The country is rather over-people in proportion to what its stock can employ, and labour is, therefore, so abundant, that no pains are taken to abridge it. The consequence of this is, probably, the greatest production of food that the soil can possibly afford, for it will be generally observed, that processes for abridging labour, though they may enable a farmer to bring a certain quantity of grain cheaper to market, tend rather to diminish than increase the whole produce ; and in agriculture, therefore, may, in some respects, be considered rather as private than public advantages.

An immense capital could not be employed in China in preparing man-

ufactures for foreign trade without taking off so many labourers from agriculture as to alter this state of things, and in some degree to diminish the produce of the country. The demand for manufacturing labourers would naturally raise the price of labour, but as the quantity of subsistence would not be increased, the price of provisions would keep pace with it, or even more than keep pace with it if the quantity of provisions were really decreasing. The country would be evidently advancing in wealth, the exchangeable value of the annual produce of its land and labour would be annually augmented, yet the real funds for the maintenance of labour would be stationary, or even declining, and, consequently, the increasing wealth of the nation would rather tend to depress than to raise the condition of the poor. With regard to the command

over the necessaries and comforts of life, they would be in the same or rather worse state than before ; and a great part of them would have exchanged the healthy labours of agriculture for the unhealthy occupations of manufacturing industry.

The argument, perhaps, appears clearer when applied to China, because it is generally allowed that the wealth of China has been long stationary. With regard to any other country it might be always a matter of dispute at which of the two periods, compared, wealth was increasing the fastest, as it is upon the rapidity of the increase of wealth at any particular period that Dr Adam Smith says the condition of the poor depends. It is evident, however, that two nations might increase exactly with the same rapidity in the exchangeable value of the an-

nual produce of their land and labour, yet if one had applied itself chiefly to agriculture, and the other chiefly to commerce, the funds for the maintenance of labour, and consequently the effect of the increase of wealth in each nation, would be extremely different. In that which had applied itself chiefly to agriculture, the poor would live in great plenty, and population would rapidly increase. In that which had applied itself chiefly to commerce, the poor would be comparatively but little benefited and consequently population would increase slowly.

CHAPTER XVII.

Question of the proper definition of the wealth of a state.—Reason given by the French æconomists for considering all manufacturers as unproductive labourers, not the true reason.—The labour of artificers and manufacturers sufficiently productive to individuals, though not to the state.—A remarkable passage in Dr. Price's two volumes of Observations.—Error of Dr. Price in attributing the happiness and rapid population of America, chiefly, to its peculiar state of civilization.—No advantage can be expected from shutting our eyes to the difficulties in the way to the improvement of society.

A QUESTION seems naturally to arise here whether the exchangeable value of the annual produce of the land and labour be the proper definition of the wealth of a country, or whether the gross produce of the land, according to the French æconomists, may not be a more accurate definition. Certain it is that every increase of wealth, according to the definition of the

œconomists, will be an increase of the funds for the maintenance of labour, and consequently will always tend to ameliorate the condition of the labouring poor, though an increase of wealth, according to Dr Adam Smith's definition, will by no means invariably have the same tendency. And yet it may not follow from this consideration that Dr Adam Smith's definition is not just. It seems in many respects improper to exclude the clothing and lodging of a whole people from any part of their revenue. Much of it may, indeed, be of very trivial and unimportant value in comparison with the food of the country, yet still it may be fairly considered as a part of its revenue ; and, therefore, the only point in which I should differ from Dr Adam Smith is where he seems to consider every increase of the revenue or stock of a society as an increase of the funds for

the maintenance of labour, and consequently as tending always to ameliorate the condition of the poor.

The fine silks and cottons, the laces, and other ornamental luxuries of a rich country, may contribute very considerably to augment the exchangeable value of its annual produce ; yet they contribute but in a very small degree to augment the mass of happiness in the society, and it appears to me that it is with some view to the real utility of the produce that we ought to estimate the productiveness or unproductiveness of different sorts of labour. The French economists consider all labour employed in manufactures as unproductive. Comparing it with the labour employed upon land, I should be perfectly disposed to agree with them, but not exactly for the reasons which they give. They say that

labour employed upon land is productive because the produce, over and above completely paying the labourer and the farmer, affords a clear rent to the landlord, and that the labour employed upon a piece of lace is unproductive because it merely replaces the provisions that the workman had consumed, and the stock of his employer, without affording any clear rent whatever. But supposing the value of the wrought lace to be such as that, besides paying in the most complete manner the workman and his employer, it could afford a clear rent to a third person, it appears to me that, in comparison with the labour employed upon land, it would be still as unproductive as ever. Though, according to the reasoning used by the French economists, the man employed in the manufacture of lace would, in this case, seem to be a productive

labourer. Yet according to their definition of the wealth of a state, he ought not to be considered in that light. He will have added nothing to the gross produce of the land ? he has consumed a portion of this gross produce, and has left a bit of lace in return ; and though he may sell this bit of lace for three times the quantity of provisions that he consumed whilst he was making it, and thus be a very productive labourer with regard to himself, yet he cannot be considered as having added by his labour to any essential part of the riches of the state. The clear rent, therefore, that a certain produce can afford, after paying the expenses of procuring it, does not appear to be the sole criterion, by which to judge of the productiveness or unproductiveness to a state of any particular species of labour.

Suppose that two hundred thousand men, who are now employed in producing manufactures that only tend to gratify the vanity of a few rich people, were to be employed upon some barren and uncultivated lands, and to produce only half the quantity of food that they themselves consumed ; they would be still more productive labourers with regard to the state than they were before, though their labour, so far from affording a rent to a third person, would but half replace the provisions used in obtaining the produce. In their former employment they consumed a certain portion of the food of the country and left in return some silks and laces. In their latter employment they consumed the same quantity of food and left in return provision for a hundred thousand men. There can be little doubt which of the two legacies would be the most

really beneficial to the country, and it will, I think, be allowed that the wealth which supported the two hundred thousand men while they were producing silks and laces would have been more usefully employed in supporting them while they were producing the additional quantity of food.

A capital employed upon land may be unproductive to the individual that employs it and yet be highly productive to the society. A capital employed in trade, on the contrary, may be highly productive to the individual, and yet be almost totally unproductive to the society ? and this is the reason why I should call manufacturing labour unproductive, in comparison of that which is employed in agriculture, and not for the reason given by the French economists. It is, indeed, almost impossible to see the great fortunes that

are made in trade, and the liberality with which so many merchants live, and yet agree in the statement of the œconomists, that manufacturers can only grow rich by depriving themselves of the funds destined for their support. In many branches of trade the profits are so great as would allow of a clear rent to a third person ; but as there is no third person in the case, and as all the profits centre in the master manufacturer, or merchant, he seems to have a fair chance of growing rich, without much privation ; and we consequently see large fortunes acquired in trade by persons who have not been remarked for their parsimony.

Daily experience proves that the labour employed in trade and manufactures is sufficiently productive to individuals, but it certainly is not productive in the same degree to the state.

Every accession to the food of a country tends to the immediate benefit of the whole society ; but the fortunes made in trade tend but in a remote and uncertain manner to the same end, and in some respects have even a contrary tendency. The home trade of consumption is by far the most important trade of every nation. China is the richest country in the world, without any other. Putting then, for a moment, foreign trade out of the question, the man who, by an ingenious manufacture, obtains a double portion out of the old stock of provisions, will certainly not be so useful to the state as the man who, by his labour, adds a single share to the former stock. The consumable commodities of silks, laces, trinkets, and expensive furniture, are undoubtedly a part of the revenue of the society ; but they are the revenue only of the rich, and

not of the society in general. An increase in this part of the revenue of a state, cannot, therefore, be considered of the same importance as an increase of food, which forms the principal revenue of the great mass of the people.

Foreign commerce adds to the wealth of a state, according to Dr Adam Smith's definition, though not according to the definition of the œconomists. Its principal use, and the reason, probably, that it has in general been held in such high estimation is that it adds greatly to the external power of a nation or to its power of commanding the labour of other countries ; but it will be found, upon a near examination, to contribute but little to the increase of the internal funds for the maintenance of labour, and consequently but little to the happiness of

the greatest part of society. In the natural progress of a state towards riches, manufactures, and foreign commerce would follow, in their order, the high cultivation of the soil. In Europe, this natural order of things has been inverted, and the soil has been cultivated from the redundancy of manufacturing capital, instead of manufactures rising from the redundancy of capital employed upon land. The superior encouragement that has been given to the industry of the towns, and the consequent higher price that is paid for the labour of artificers than for the labour of those employed in husbandry, are probably the reasons why so much soil in Europe remains uncultivated. Had a different policy been pursued throughout Europe, it might undoubtedly have been much more populous than at present, and yet